AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII EXAMINATION

APRIL/ MAY 2019

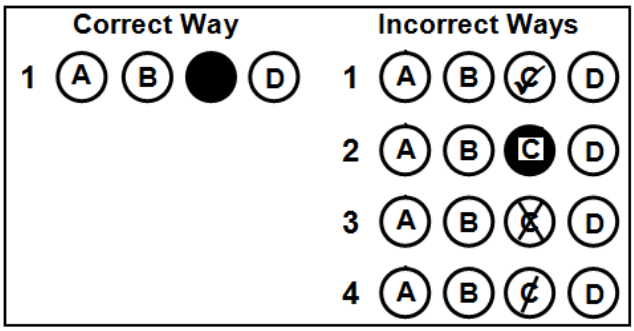
Banking Paper I

Time: 40 minutes Marks: 25

April/ May 2019 for Teaching & Learning only

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.

1. The Bank of Punjab was established through The Bank of Punjab Act 1989. It was given the status of a retail (scheduled) bank by the State Bank of Pakistan in 1994.

   With reference to the given description, the said bank will be classified as a

   A. statutory bank.
   B. chattered bank.
   C. legislative bank.
   D. cooperative bank.

2. A bank undertakes commercial and investment activities together to promote industrialisation. This type of banking performed by the bank is identified as

   A. unit banking.
   B. chain banking.
   C. mixed banking.
   D. branch banking.

3. Bravo Bank has collected 50,000 share applications from the general public on behalf of ABC Company.

   The given service provided by the bank is classified as

   A. utility service.
   B. agency service.
   C. consultancy service.
   D. foreign exchange service.

4. Mr Ali is an account opening officer in a bank. Rauf approached him for opening an account, Rauf wants to keep money in the account for a longer term with high rate of return.

   The account recommended by Ali to Rauf will be

   A. current account.
   B. minor's account.
   C. fixed saving account.
   D. home saving account.

5. As per the State Bank of Pakistan (SBP), the pre-requisite for opening an individuals' bank account is to

   A. have a non-objection certification (NOC) from the registrar or civil court.
   B. have a computerised national identity card (CNIC) verification and authentication.
   C. have listed in national tax filler list of federal bureau of revenue (FBR).
   D. have a age eligibility of 18 years.

6. All of the following can be the reason of dormancy of an account, EXCEPT if

   A. the account has no balance left.
   B. there was no transaction performed over the long time.
   C. the computerised national identity card (CNIC) has expired.
   D. the person becomes a non-filer at Federal Bureau of Revenue (FBR).

April/ May 2019 for Teaching & Learning only

7. If a central bank in order to issue a currency note of Rs 100 keeps a backup of Rs 30 in form of gold or silver, then the system adopted by central bank for the issue of currency note is

A. fixed fiduciary system.
B. maximum limit system.
C. minimum reserve system.
D. proportional reserve system.

8. The given credit instrument is identified as

STAMP	F.B Area, Karachi DD/MM/YY

Amount: Rs 100,000

On demand pay Mr Amin or order the sum of Rs 100,000 in 60 days for value received.

Accepted (signed) Drawee's Name Drawee's Address	Drawer (signed) Drawer address:

A. I owe You.
B. money order.
C. promissory note.
D. bill of exchange.

9. The endorser has a right to add any condition on the credit instrument at the time of endorsement and the holder has to bear all the expenses in case of dishonour of instrument.

The type of endorsement in the given description describes a

A. san faris endorsement.
B. restrictive endorsement.
C. facultative endorsement.
D. san recourse endorsement.

10. Amin supplies goods to Salim on credit. Salim, then forwards a post-dated cheque of his customer for the payment due which was accepted by Amin.

With reference to parties for the negotiable instrument, Amin is considered as a

A. drawee.
B. drawer.
C. endorser.
D. holder in due course.

April/ for Teaching & Lea

11. Sumaira and Samina have agreed to settle their payment through a promissory note which will be paid after 90 days. The signed note is classified as a/ an

A. sight pronote.
B. antidate pronote.
C. postdate pronote.
D. after date pronote.

12. A card is issued by the bank to facilitate its account holder (customer) for round the clock service for the following transactions:

- purchase of goods and services at any point of sales (PoS) i.e. departmental stores, fuel stations etc.
- transfer money from one bank account to any another bank account via internet.

The issued card is classified as a/ an

A. NTN card.
B. ATM card.
C. Debit card.
D. Credit card.

13. Al-Burj Associates deals in real estate. The business instructs their clients to pay the amount via bank drafts only (for the purchase and sale of any property).

The appropriate reason for such instruction is to have

A. legal identity and payment surety.
B. cheaper means of payment with no legal charges.
C. less legal restriction and exemption from taxation.
D. protection against theft and to gain interest for an unutilised period.

14. Which of the following characteristics CORRECTLY distinguishes a promissory note from a bill of exchange?

A. It does contain an unconditional order to pay.
B. It does not have a drawee that must accept the note.
C. It may allow the provision for payment in instalments.
D. It may be conditional upon the happening of a future event.

15. Al-Amin Traders have received an export order for hosiery items. The business approached its bank for the letter of credit (L/C). The terms of L/C ensures that the bank will honour the L/C even if the buyer fails to pay.

The L/C issued in the given condition will be termed as

A. Stand-by L/C.
B. Confirmed L/C.
C. Revocable L/C.
D. Transferable L/C.

April/ May 2019 for Teaching & Learning only

16. Al-Kauser Enterprises would like to import some life-saving drugs form USA to Pakistan through airways. An agreement on terms of trade is signed and now further on they require a letter of credit (L/C) from the bank.

Which of the following set of documents will Al-Kauser require for the opening of the letter of credit (L/C)?

	⟶		
A	Formal contract	Performa invoice	Insurance policy
B	FBR clearance	Quotation received	Bill of lading
C	Bill of lading	Custom clearance	FBR clearance
D	Bill of lading	Performa invoice	Insurance policy

17. Rafay an entrepreneur wants to open a new restaurant in another part of the city. He has provided the following list of collateral securities to Aleem along with the loan application for his new restaurant.

I. His father's estate (property)
II. Land documents of the new restaurant
III. His and his son's academic certificates
IV. House loan documents of his residence

The MOST acceptable collateral security for Aleem would be

A. I.
B. II.
C. III.
D. IV.

18. The qualitative action of central bank to control credit would be to

A. sell treasury bills in the market.
B. manipulate the bank interest rate.
C. issue directives for restricting bank advances.
D. change reserve requirements for commercial banks.

19.

I. Foreign bank
II. Schedule bank
III. Non schedule bank

In case of financial crises, the State Bank of Pakistan will provide loan to

A. II only.
B. III only.
C. I and II.
D. I and III.

April/ May 2019 for Teaching & Learning only

20. An individual living in country P invests in the stock market and real estate of country Q. The mentioned investment will be classified in the balance of payment (BoP) of Country Q under

A. equity account.
B. capital account.
C. current account.
D. financial account.

21. Islamabad: Pakistan and China have agreed to do trade in their own currencies instead of the US dollar, According to report, the two countries agreed to do business in Pakistani Rupee and Chinese currency Yuan during the visit of Prime Minister Imran Khan to Beijing.

(source: https://www.thenews.com.pk/latest/390016)

The method of exchange adopted by both countries for bilateral trade is classified as a

A. clearing agreement.
B. payment agreement.
C. moratorium agreement.
D. compensation agreement.

22. Country X in order to ensure exchange control, adopted different exchange rates for purchase and sale of different foreign currencies. This was aimed to discourage certain imports of goods from specific countries.

The above description of method of determining exchange rate is known as

A. exchange pegging.
B. standstill agreement.
C. multiple exchange rates.
D. foreign exchange rationing.

23. The National Investment Trust Limited (NIT) is Pakistan's first and largest asset management company.

The Trust was constituted under the Trust Deed in the year

A. 1962.
B. 1974.
C. 1985.
D. 2014.

24. In any area of Pakistan, if the State Bank or its branch is not present, then the bank that works as a representative of State Bank of Pakistan is

A. Allied Bank limited.
B. Habib Bank Limited.
C. United Bank Limited.
D. National Bank limited.

April/ May 2019 for Teaching & Learning only

25. ABC bank has issued the following guidelines to its customers using services of internet or online banking

- The bank never transfers money in response to any unknown calls you receive.
- In case you get unexpected calls, never offer remote access to your bank account.
- The bank will never ask your banking passwords and/or PIN, so do not disclose it.

The above guidelines clearly indicate which of the following de-merit to e-banking.

A. Security and fraud concerns
B. Unavailability of banking services
C. Reliance on internet connectivity
D. Unsure of credit worthiness of the client

April/ May 2019
for
Teaching & Learning only

END OF PAPER

Please use this page for rough work

April/ May 2019
for
Teaching & Learning only